Choosing an implementation: ETFs, SMAs, and Direct Indexing

A client guide to the trade-offs across implementation types

When a research view is available in more than one implementation — an exchange-traded fund (ETF), a separately managed account (SMA), or a direct-indexing account — the choice usually comes down to three questions: how much does it cost, what has it returned, and how much can it be tailored to your specific tax and legacy-holding situation. This guide walks through each.

1. Cost

An ETF's expense ratio is typically lower than an SMA's manager fee, because an ETF spreads its operating costs across every shareholder in the fund rather than managing one account individually. A direct-indexing account typically falls between the two: it is a single-account strategy like an SMA, but its trading and rebalancing are largely systematic, which tends to keep its fee closer to an ETF than a fully discretionary SMA. In an advisory program, the program fee applies on top of any of these three — so the fee difference that matters to a comparison is the difference in manager fee or expense ratio, not the full account cost.

2. Performance

Passive index exposure has outperformed active management in many periods, though performance varies by asset class, time horizon, and market environment, and past performance does not indicate future results. When comparing implementations of the same research view, confirm that the performance figures being compared use the same basis and the same time period — a fund's published NAV return and a separately managed account composite's net-of-fee return are calculated differently and are not directly interchangeable without adjustment.

3. Tax management and customization

A separately managed account or direct-indexing account can realize losses at the individual position level throughout the year — a capability a pooled ETF structure cannot offer an individual shareholder. This is most valuable in volatile markets and for investors in higher tax brackets, and it can also accommodate specific holding exclusions (for example, concentrated employer stock) that a fund cannot. An ETF, by contrast, offers none of this account-level customization, in exchange for its typically lower cost and high liquidity.

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